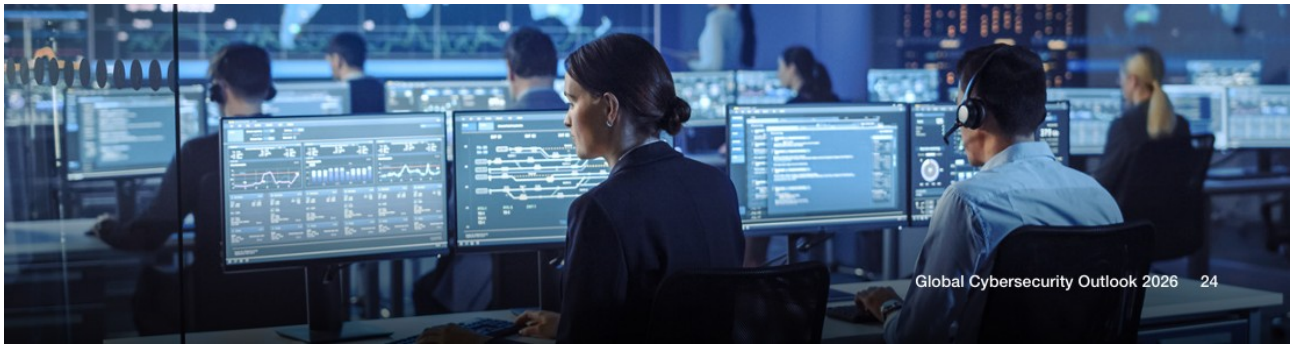
Geopolitics is a defining feature of cybersecurity

For the full article, please click here:
https://reports.weforum.org/docs/WEF_Global_Cybersecurity_Outlook_2026.pdf



In an increasingly fragmented global environment – marked by conflicts, geoeconomic tensions, trade wars, sanctions and growing technological competition – geopolitics has become a defining force shaping cybersecurity. The Global Cybersecurity Outlook 2026 survey data reveals that, although the percentage of organizations changing their cybersecurity strategy due to geopolitics has declined from 93% in 2023 to 66% in 2026, geopolitics remains the top factor influencing overall cyber risk mitigation strategies. This suggests that the initial wave of adaptations following the geopolitical turmoil that dominated the headlines in 2022 and 2023 has passed, and that geopolitical risk is now a major factor shaping cyber defence.

Organizations are increasingly shifting from isolated defence to intelligence-driven collaboration. In response to geopolitical volatility, survey respondents identified a stronger focus on threat intelligence and deeper engagement with government agencies as the top two drivers of change in their cybersecurity strategies. This trend indicates a growing recognition that navigating an uncertain geopolitical landscape demands collaboration and shared situational awareness.

The shift towards intelligence-driven collaboration is being led primarily by global organizations with a larger number of employees, which are inherently more exposed to geopolitical volatility due to their global operations. These large employers are proactively seeking greater collaboration to manage this heightened exposure – leveraging their scale and resources to strengthen resilience. Data shows that 70% of the largest employers (those with more than 100,000 employees) have increased their focus on threat intelligence, compared to only 30% of small employers (those with 1,000 employees or fewer).7 Similarly, 49% of these large employers have deepened their engagement with government agencies or information-sharing groups, versus 26% of small employers. In contrast, those smaller organizations, with limited staff and narrower geographic footprints, appear to be less aware of direct geopolitical pressures and often have less capacity to participate in collective security efforts. This may mean relying more frequently on risk acceptance rather than active mitigation in response to geopolitical volatility.

Local events – global impact

Geopolitical instability and armed conflicts are reshaping the cyberthreat landscape, creating complex and unpredictable conditions for organizations. As global fragmentation deepens – driven by conflicts, sanctions and technological rivalry – cybersecurity is emerging as a critical extension of geopolitical competition.

The large-scale power outage experienced in the Iberian Peninsula, while not in itself the result of a cyberattack, highlighted the impact a cyberattack could have on such critical national infrastructure. Ongoing instability in the wake of the war in Ukraine has coincided with a rise in hybrid attacks, using drones to target European airports and other critical infrastructure, along with the spread of disinformation, which have further destabilized the regional security landscape.8 Beyond Europe, escalating geopolitical rivalries and conflicts across the Indo-Pacific, Middle East and Africa require organizations to maintain heightened vigilance as risks intensify across regions and industries. Of particular concern to participants in focus groups for this report was the use of advanced offensive cyber capabilities by nation-state actors to hack telecommunications networks in the United States.[9,10,11]

The shift to a paradigm of more global confrontation – for example, by using trade policies, including tariffs and export restrictions – is reshaping alliances and technology dependencies. Political tensions are contributing to a growing fragmentation of global technology ecosystems, as countries diversify their partnerships and supply chains. Political and economic tensions are also driving countries and corporations to reconfigure supply chains, reshore manufacturing and cultivate "trusted" regional partners. The rush to establish alternative suppliers, logistics channels or data-hosting arrangements often outpaces cyber due diligence, expanding the attack surface across less-secure networks and third parties. As tariffs and policy shifts ripple through industries, cybersecurity risk management must evolve in tandem – treating trade disruptions as triggers for renewed threat modelling and vendor-risk reassessment.[12]

In this volatile environment, cyber operations have become tools of diplomacy and influence – used to shape political outcomes and disrupt trade – further reinforcing the link between geopolitical uncertainty and organizational cyber risk exposure. Although geopolitical volatility continues to weigh on strategic decisionmaking, a concerning trend has emerged: reductions in cybersecurity budgets that may constrain organizational capacity to manage growing threats. Survey data shows that 12% of organizations based in North America and 13% of organizations based in Latin America and the Caribbean have reported cutting cybersecurity budgets due to geopolitical volatility.

As state-sponsored attacks and espionage campaigns intensify, organizations face mounting challenges in forecasting cyber risks and aligning strategies with shifting global conditions. Participants in focus group interviews for this report warn that these pressures will persist, reinforcing the need for adaptive, resilient cyber strategies despite constrained budgets.

Geopolitical tensions driving critical infrastructure vulnerabilities

Geopolitical tensions particularly expose threats and vulnerabilities in the critical national infrastructure that supports society and underpins the operations of countless organizations. Sectors such as energy, water and transportation are increasingly targeted in cyber warfare campaigns, where the interconnected nature of systems amplifies the impact of disruptions. A striking illustration came in April 2025 when a Norwegian hydropower dam was hacked, opening a floodgate and releasing 500 litres of water per second for four hours, in what officials described as a deliberate act of sabotage.[13]

Alarmingly, 31% of the Global Cybersecurity Outlook survey participants express lack of confidence in their nation's ability to respond effectively to major cyber incidents, which is up from 26% last year. This indicates a growing sense of uncertainty and heightened exposure.

Respondents' perceptions of their country's ability to protect critical national infrastructure vary significantly across regions. While a high degree of confidence is expressed by respondents from

the Middle East and North Africa (84% of respondents), far less confidence is expressed by respondents based in Latin America and the Caribbean (13%).

Cybersecurity in the sovereignty era

The uneven confidence across regions points to a broader shift in how nations perceive cyber resilience – from a technical challenge to a question of sovereignty and self-reliance. As nations seek to protect critical infrastructure, many are re-evaluating their dependencies on foreign technology providers and global supply chains. This connection between infrastructure protection and digital autonomy has become a defining feature of modern cybersecurity policy.

Over the course of 2025, economic uncertainty and geopolitical instability have become deeply intertwined, amplifying global cyber risk and complicating organizations' ability to anticipate and mitigate emerging threats. As political tensions and trade disputes reshape alliances and technology dependencies, the world is witnessing growing fragmentation across digital and technological ecosystems. This renewed focus on digital sovereignty reflects an urgent drive by states and organizations to safeguard autonomy, control critical assets and reduce exposure to external shocks.

The term "cyber sovereignty" is often used to mean the application of traditional state sovereignty rights and obligations (i.e. control of territory, non-intervention, jurisdiction) to the domain of cyberspace.14 The concept is complicated by the fact that cyberspace doesn't map neatly onto physical territory (servers, cables, data flows cross jurisdictions), so applying conventional sovereignty (which is territory-based) becomes challenging.

At the organizational level, concerns over sovereignty have become increasingly tangible. Governments, public institutions and private enterprises alike are reassessing dependencies on foreign technology providers and global cloud infrastructure, in light of geopolitical tensions and supply chain vulnerabilities. For instance, several European actors – including municipalities such as Copenhagen, in Denmark, and federal agencies in Germany – have begun shifting towards sovereign or regionally managed cloud solutions to ensure compliance with national data-protection mandates and to mitigate perceived risks associated with extraterritorial control of data.15 Similar debates are unfolding elsewhere as organizations weigh the benefits of global interoperability against the imperative of maintaining control over critical digital assets and sensitive information.

This trend illuminates a broader recalibration of trust – not only in systems and technologies, but in the geopolitical reliability of the ecosystems that underpin them. The growing attention to sovereignty emphasizes the tension between preserving openness and interoperability and safeguarding national autonomy, control and resilience against external disruptions.

"As the threat landscape evolves and AI increasingly powers offensive operations in cyberspace, we must step up our work on the resilience of our critical infrastructure and connectivity. The EU stands ready to work with like-minded partners to protect what is today the digital backbone of our economy and society. Looking ahead, our priority is to boost investments in cyber to strengthen Europe's industrial capabilities and harness deep tech for better detection and anticipation, invest in people to close the cyber skills gap, and deepen intelligence sharing so that we can spot and address vulnerabilities faster." Henna Virkkunen, Executive Vice-President for Tech Sovereignty, Security and Democracy, European Commission